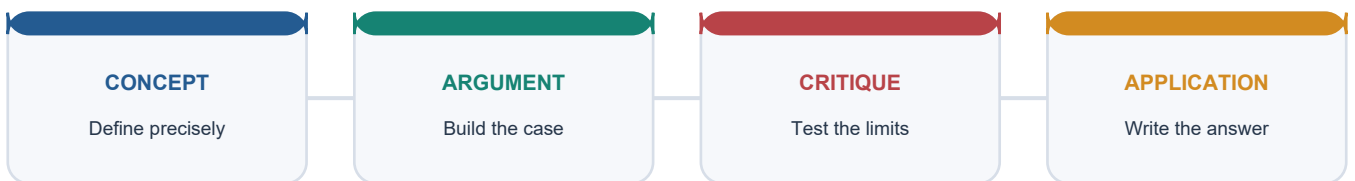


SOLVED PRACTICE WORKBOOK

GST Council - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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GST Council - Solved Practice Workbook

Control date: 8 September 2026 **Locked discipline:** exactly 32 original MCQs before PYQs; ABCD repeated eight times; 128 unique option explanations; 32 unique examiner traps; official-key status stated; exactly six original Mains models.

Exactly **32 original MCQs** appear before PYQs. Correct-option sequence: ABCD repeated eight times. Every option has a distinct explanation and every question has a unique examiner trap.

BASIC MCQS / REMEDIATION

MCQ 1. Article 246A is best described as:

A. a special GST competence shared by Parliament and States, with Parliament exclusive for inter-State supplies B. the Finance Commission's tax-sharing clause C. a parliamentary power over customs alone D. the Council's voting clause

Answer: A.

Option-specific explanations:

- **A:** Article 246A creates simultaneous GST power and reserves inter-State GST legislation to Parliament.
- **B:** Article 280, not Article 246A, creates the Finance Commission.
- **C:** Customs competence is not the defining subject of Article 246A.
- **D:** Voting is governed by Article 279A, not Article 246A.

Examiner trap 1: Trap 1: shared intra-State competence does not erase Parliament's exclusive inter-State field.

MCQ 2. Which constitutional change accompanied the 101st Amendment?

A. Deletion of Article 286 B. Omission of Article 268A C. Omission of Article 270 D. Insertion of Article 280A

Answer: B.

Option-specific explanations:

- **A:** Article 286 was amended to fit supply-based restrictions, not deleted.
- **B:** Article 268A's separate service-tax route was omitted.
- **C:** Article 270 was amended, not omitted.
- **D:** No Article 280A was inserted for GST.

Examiner trap 2: Trap 2: distinguish an omitted provision from provisions merely amended.

MCQ 3. Article 269A primarily governs:

A. GST Council membership B. State excise on alcohol C. inter-State GST levy, collection and apportionment D. Finance Commission grants

Answer: C.

Option-specific explanations:

- **A:** Council membership is found in Article 279A(2).
- **B:** Alcohol excise survives in separate constitutional fields.
- **C:** Article 269A is the constitutional IGST and apportionment bridge.
- **D:** Article 275 and Article 280 concern grants and Finance Commission advice.

Examiner trap 3: Trap 3: Article 269A is about inter-State flow, not the Council itself.

MCQ 4. Who chairs the GST Council?

A. Revenue Secretary B. Prime Minister C. Union Minister of State for Finance D. Union Finance Minister

Answer: D.

Option-specific explanations:

- **A:** The Revenue Secretary supports the Secretariat but is not constitutional Chairperson.
- **B:** The Prime Minister does not chair the Article 279A body.
- **C:** The Union MoS is a member, not Chairperson.
- **D:** Article 279A(2)(a) names the Union Finance Minister as Chairperson.

Examiner trap 4: Trap 4: administrative prominence does not create constitutional membership.

MCQ 5. A State is represented in the Council by:

A. its finance/tax minister or another minister nominated by the State Government B. its Chief Secretary only C. one MLA elected by the Assembly D. the Governor

Answer: A.

Option-specific explanations:

- **A:** Article 279A permits the finance/tax minister or another State-nominated minister.
- **B:** A Chief Secretary is not the State's constitutional voting member.
- **C:** The Constitution does not use an elected-MLA formula for Council membership.
- **D:** The Governor does not cast the State's Council vote.

Examiner trap 5: Trap 5: the representative must be a minister, but need not always hold the finance portfolio.

MCQ 6. The Council's Vice-Chairperson is:

A. appointed by the President B. chosen by State members from among themselves C. always the senior-most Chief Minister D. the Union MoS by office

Answer: B.

Option-specific explanations:

- **A:** The President constitutes the Council but does not select its Vice-Chair under clause (3).
- **B:** State members choose one among themselves and decide the period.
- **C:** No seniority convention is constitutionalised.
- **D:** The Union MoS is a member, not automatic Vice-Chair.

Examiner trap 6: Trap 6: the States control the vice-chair choice and period.

MCQ 7. The constitutional quorum is:

A. one-third of members present B. three-fourths of total membership C. one-half of total membership D. two-thirds of State members

Answer: C.

Option-specific explanations:

- **A:** One-third is associated with Union vote weight, not quorum.
- **B:** Three-fourths is the weighted decision threshold.
- **C:** Article 279A(7) fixes one-half of total membership.
- **D:** The Constitution does not define quorum as two-thirds of State members.

Examiner trap 7: Trap 7: quorum counts members; vote weights apply after a meeting is quorate.

MCQ 8. A formal Council decision needs at least:

A. a simple headcount majority B. two-thirds of unweighted votes C. unanimity D. three-fourths of weighted votes of members present and voting

Answer: D.

Option-specific explanations:

- **A:** Simple majority understates the constitutional threshold.
- **B:** Two-thirds is the States' aggregate weight, not the passing rule.
- **C:** Consensus is usual practice but not the only constitutional route.
- **D:** Article 279A(9) prescribes at least three-fourths of weighted votes.

Examiner trap 8: Trap 8: consensus practice does not repeal the formal weighted rule.

MCQ 9. The Union's weight in votes cast is:

A. one-third B. one-half C. two-thirds D. three-fourths

Answer: A.

Option-specific explanations:

- **A:** The Union has one-third of total votes cast.
- **B:** One-half is the quorum fraction.
- **C:** Two-thirds belongs collectively to States.
- **D:** Three-fourths is the passing threshold.

Examiner trap 9: Trap 9: memorise each fraction with its distinct function.

MCQ 10. States together hold:

A. one-third of votes cast B. two-thirds of votes cast C. three-fourths of votes cast D. one-half of total membership

Answer: B.

Option-specific explanations:

- **A:** One-third belongs to the Union.
- **B:** State members present and voting collectively carry two-thirds.
- **C:** Three-fourths is the required majority.
- **D:** One-half describes quorum, not State weight.

Examiner trap 10: Trap 10: State weight is collective and then shared equally among participating State members.

MCQ 11. The Union can block a proposal because:

A. the Chair has an express veto B. States have no constitutional vote C. States' maximum collective two-thirds falls below the three-fourths threshold D. Parliament must approve every Council agenda

Answer: C.

Option-specific explanations:

- **A:** Article 279A does not state a separate chairperson's veto.
- **B:** States collectively hold the larger vote share.
- **C:** Without Union support, the maximum two-thirds cannot reach three-fourths.
- **D:** Parliamentary pre-approval is not part of Council voting.

Examiner trap 11: Trap 11: call it blocking arithmetic, not an express constitutional veto.

MCQ 12. Article 279A(10) means Council proceedings are not invalid merely because of:

A. judicial review B. absence of any quorum C. failure to meet the voting threshold D. specified vacancy/appointment/constitution defects or non-merits procedural irregularity

Answer: D.

Option-specific explanations:

- **A:** Judicial review is not excluded by clause (10).
- **B:** Clause (10) does not authorise business without quorum.
- **C:** A failed majority cannot be cured as a minor defect.
- **D:** The clause protects proceedings from the enumerated defects and immaterial irregularity.

Examiner trap 12: Trap 12: defect protection is not permission to ignore quorum or voting.

MCQ 13. Which is expressly within Article 279A(4)?

A. threshold turnover below which GST may be exempted B. horizontal Finance Commission devolution C. CAG certification of net proceeds D. appointment of GSTAT judges

Answer: A.

Option-specific explanations:

- **A:** Thresholds are an express recommendation field.
- **B:** Horizontal devolution belongs to Article 280 architecture.
- **C:** CAG certification arises under Article 279.
- **D:** GSTAT appointments follow statute, not Article 279A(4)'s list.

Examiner trap 13: Trap 13: identify recommendation subjects, not every institution touching public finance.

MCQ 14. Article 279A(5) concerns the date for GST levy on:

A. alcoholic liquor for human consumption B. five specified petroleum products C. electricity duty D. stamp duty

Answer: B.

Option-specific explanations:

- **A:** Alcohol is excluded from the GST definition, not deferred under clause (5).
- **B:** Crude, HSD, petrol, natural gas and ATF are the five named products.
- **C:** Electricity duty remains a distinct State field.
- **D:** Stamp duty is outside the clause (5) list.

Examiner trap 14: Trap 14: petroleum is deferred; alcohol is excluded.

MCQ 15. Which statement about recommendations is correct?

A. They automatically amend all GST Acts. B. They are judicial decrees. C. They have persuasive constitutional value, while enforceability follows valid law or notification. D. They bind only private taxpayers directly.

Answer: C.

Option-specific explanations:

- **A:** A Council decision does not itself rewrite legislation.
- **B:** The Council is not a court.
- **C:** This states the recommendation-to-law chain after Mohit Minerals.
- **D:** Taxpayers are bound by applicable law, not directly by the recommendation.

Examiner trap 15: Trap 15: avoid both automatic-binding and legal-irrelevance extremes.

MCQ 16. A rate recommendation in a press release becomes enforceable through:

A. a newspaper report B. a GSTN portal banner alone C. a Finance Commission memorandum D. the competent Act/rule/Gazette notification with an effective date

Answer: D.

Option-specific explanations:

- **A:** Media publication cannot create tax liability.
- **B:** Portal display is administrative information, not delegated legislation.
- **C:** Finance Commission documents do not set GST rates.
- **D:** The authorised legal instrument supplies enforceability and timing.

Examiner trap 16: Trap 16: recommendation date and legal effective date may differ.

MCQ 17. An intra-State taxable supply ordinarily attracts:

A. CGST plus SGST or applicable UTGST B. IGST only C. SGST plus IGST D. customs duty only

Answer: A.

Option-specific explanations:

- **A:** The dual intra-State structure combines Central and subnational components.
- **B:** IGST is the inter-State/import bridge.
- **C:** SGST and IGST are not the standard same-supply intra-State pair.
- **D:** Customs duty concerns importation and does not replace domestic GST.

Examiner trap 17: Trap 17: choose the supply's territorial character before choosing the levy.

MCQ 18. Imports are treated for GST purposes as:

A. outside all GST B. inter-State supplies C. intra-State supplies in the port State D. State excise supplies

Answer: B.

Option-specific explanations:

- **A:** Imports may attract GST through the inter-State route.
- **B:** Article 269A deems import supplies inter-State.
- **C:** Port location does not convert the import into an intra-State supply.
- **D:** State excise is not the general import-GST mechanism.

Examiner trap 18: Trap 18: import IGST is distinct from basic customs duty.

MCQ 19. Input-tax credit primarily seeks to:

A. replace constitutional competence B. give the Council adjudicatory power C. tax value addition by offsetting eligible input tax against output liability D. exempt every business input

Answer: C.

Option-specific explanations:

- **A:** Credit rules do not allocate legislative power.
- **B:** ITC does not create Council adjudication.
- **C:** Eligible offset limits cascading and focuses burden on value addition.
- **D:** Blocked and ineligible credits remain possible.

Examiner trap 19: Trap 19: ITC is conditional credit, not universal exemption.

MCQ 20. GSTN is best described as:

A. the Article 279A voting forum B. the appellate tribunal C. the Central tax legislature D. the common GST technology platform

Answer: D.

Option-specific explanations:

- **A:** The GST Council is the constitutional forum.
- **B:** GSTAT is the statutory appellate institution.
- **C:** Parliament legislates Central GST law.
- **D:** GSTN supports registration, returns and shared digital processes.

Examiner trap 20: Trap 20: technology infrastructure is not constitutional policy authority.

MCQ 21. Alcoholic liquor for human consumption is:

A. excluded from the Article 366(12A) GST definition B. deferred only until an Article 279A(5) date C. within GST plus Union excise like tobacco D. an IGST-only supply

Answer: A.

Option-specific explanations:

- **A:** Article 366(12A) expressly excludes this supply from GST.
- **B:** The date mechanism applies to five petroleum products.
- **C:** Tobacco has a different concurrent treatment.
- **D:** Alcohol is not converted into an IGST-only category.

Examiner trap 21: Trap 21: constitutional exclusion is stronger than present-rate exemption.

MCQ 22. Tobacco products may bear:

A. State VAT only B. GST plus retained Union excise C. no indirect tax D. only compensation cess and no GST

Answer: B.

Option-specific explanations:

- **A:** Tobacco is not confined to State VAT.
- **B:** The amended constitutional field permits GST alongside Union excise.
- **C:** Tobacco is not tax-free.
- **D:** Cess treatment does not displace the underlying GST/excise structure.

Examiner trap 22: Trap 22: tobacco is the classic GST-plus-Union-excise boundary.

MCQ 23. The five-year compensation transition ended in:

A. June 2017 B. March 2020 C. June 2022 D. September 2025

Answer: C.

Option-specific explanations:

- **A:** GST had not yet begun in June 2017.
- **B:** March 2020 was within the transition and pandemic shock.
- **C:** The protected five-year period ended on 30 June 2022.
- **D:** The 56th meeting did not extend the original entitlement to 2025.

Examiner trap 23: Trap 23: cess continuation does not move the entitlement end date.

MCQ 24. Post-June 2022 compensation cess collection should be described as:

- A. a permanent 14 per cent State guarantee B. a Finance Commission grant C. proof that compensation never ended
D. a separately authorised loan/interest-servicing arrangement, with current dates checked officially

Answer: D.

Option-specific explanations:

- **A:** The protected growth guarantee was time-bound.
- **B:** The cess is not an Article 280 grant.
- **C:** Collection after transition does not revive the expired entitlement.
- **D:** This preserves the legal distinction and date sensitivity.

Examiner trap 24: Trap 24: label the purpose of continued cess, not merely its name.

MCQ 25. Mohit Minerals held Council recommendations to be:

- A. persuasive rather than binding on Union and State legislatures B. binding constitutional commands C. irrelevant to GST law D. binding only on States

Answer: A.

Option-specific explanations:

- **A:** The Court assigned persuasive value and preserved simultaneous legislative power.
- **B:** A binding-command reading was rejected.
- **C:** The Council remains a central harmonising institution.
- **D:** The holding does not subordinate States alone.

Examiner trap 25: Trap 25: non-binding does not mean institutionally optional in every setting.

MCQ 26. The ocean-freight dispute involved:

- A. State electricity duty B. a separate reverse-charge IGST levy in a CIF import/composite-supply setting C. the Finance Commission's divisible pool D. Council vice-chair election

Answer: B.

Option-specific explanations:

- **A:** Electricity duty was not the challenged levy.
- **B:** The statutory vires analysis concerned ocean freight within CIF imports.
- **C:** No Article 280 allocation question was before the Court.
- **D:** Council office procedure was not the dispute.

Examiner trap 26: Trap 26: know the factual setting before citing the constitutional holding.

MCQ 27. Article 279A(11) concerns:

- A. private contract arbitration B. ordinary income-tax appeals C. specified intergovernmental disputes arising from Council recommendations or implementation D. appointment of GST officers

Answer: C.

Option-specific explanations:

- **A:** Private arbitration is outside the clause.
- **B:** Income-tax appeals use a different legal regime.
- **C:** Clause (11) lists Union-State and State-State dispute combinations.
- **D:** Officer appointment is an administrative matter.

Examiner trap 27: Trap 27: the parties are governments, not ordinary taxpayers.

MCQ 28. GSTAT is:

A. the GST Council Secretariat B. the Finance Commission C. the Article 279A(11) mechanism automatically D. a statutory appellate tribunal for GST disputes

Answer: D.

Option-specific explanations:

- **A:** The Secretariat supports Council work.
- **B:** Article 280 creates the Finance Commission.
- **C:** No automatic identity follows from GSTAT's existence.
- **D:** GSTAT hears statutory appeals under GST law.

Examiner trap 28: Trap 28: appellate tax adjudication and intergovernmental constitutional adjudication differ.

MCQ 29. The Finance Commission primarily:

A. recommends Article 280 tax devolution and grants B. sets GST rates C. operates GSTN D. administers CGST returns

Answer: A.

Option-specific explanations:

- **A:** Its constitutional role concerns devolution and grants.
- **B:** GST rate coordination belongs to the Council.
- **C:** GSTN operates technology.
- **D:** CBIC and State administrations handle tax administration.

Examiner trap 29: Trap 29: do not merge two federal fiscal institutions because both discuss revenue.

MCQ 30. Council practice is best stated as:

A. formal voting is unconstitutional B. consensus is usually preferred, while Article 279A(9) remains available C. every decision is unanimous by constitutional command D. the Union decides after consultation

Answer: B.

Option-specific explanations:

- **A:** The Constitution expressly provides a voting rule.
- **B:** This separates institutional practice from legal rule.
- **C:** Unanimity is not constitutionally mandatory.
- **D:** The Union cannot replace the Council's weighted process.

Examiner trap 30: Trap 30: convention and constitutional text must be separately labelled.

MCQ 31. Notification 19/2024-Central Tax fixed which anti-profiteering transition?

A. CCI began all GST appeals in 2017 B. GSTAT replaced Article 279A(11) C. no new section 171 examination requests from 1 April 2025 D. all pending cases automatically ended on 30 September 2024

Answer: C.

Option-specific explanations:

- **A:** CCI's earlier role does not describe this notification.
- **B:** The notification does not create the constitutional intergovernmental mechanism.
- **C:** The notified sunset concerns acceptance of new examination requests.
- **D:** Pending matters were not erased by the notification's publication date.

Examiner trap 31: Trap 31: a filing sunset is not retrospective cancellation of pending matters.

MCQ 32. Which reform most directly answers the constitutional dispute gap?

A. abolish State GST laws B. treat press releases as statutes C. give GSTN power to decide federal disputes D. operationalise a transparent Article 279A(11) mechanism while preserving courts and statutory appeals

Answer: D.

Option-specific explanations:

- **A:** Abolition would contradict the shared competence design.
- **B:** Press releases cannot replace legal instruments.
- **C:** A technology platform lacks adjudicatory constitutional authority.
- **D:** This targets the correct clause without confusing taxpayer remedies.

Examiner trap 32: Trap 32: reform must match the legal defect and the correct institution.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ AUDIT

- **Direct owner:** UPSC GS-II 2023 Q15 on the 101st Amendment and accommodative federalism.
- **Closely adjacent verified papers:** Prelims 2018 Q97; GS-III 2019 Q1; GS-III 2020 Q12; GS-II 2025 Q14.
- **Official-key discipline:** Mains papers have no official answer key. The locally audited route for Prelims 2018 did not include a verified final official key, so no answer letter is presented as an official UPSC key.
- **Boundary:** no direct standalone 2024, 2025 or 2026 GST Council PYQ was located in the audited routes.

VERIFIED PYQ 1 - PRELIMS 2018, Q97

Question: Consider the following items:

1. Cereal grains hulled
2. Chicken eggs cooked
3. Fish processed and canned
4. Newspapers containing advertising material

Which of the above items is/are exempted under GST (Goods and Services Tax)?

A. 1 only B. 2 and 3 only C. 1, 2 and 4 only D. 1, 2, 3 and 4

Official-key status: The question is verified from the official paper, but no final official key was available in the audited local source set. No option is labelled an official UPSC answer. The item tests historical 2018 classifications and must not be used as a present-rate catalogue.

VERIFIED PYQ 2 - GS-III 2019, Q1 - 10 MARKS, 150 WORDS

Question: "Enumerate the indirect taxes which have been subsumed in the Goods and Services Tax (GST) in India. Also, comment on the revenue implications of the GST introduced in India since July 2017."

Demand route: enumerate Union and State levies; explain ITC/destination gains; qualify transition, exclusions, refunds and compliance.

Model route: Central excise on most goods, service tax, additional customs/excise components and relevant cesses joined State VAT/sales tax on most goods, CST, entry tax, luxury tax and most entertainment/betting levies. Article 246A created a shared base and Article 269A enabled destination settlement. ITC can reduce cascading and digital reporting can widen compliance. Yet refunds, blocked credits, rate changes and adjustment costs affect working capital and revenue. Alcohol, specified petroleum treatment, electricity duty, stamp duty and basic customs duty qualify the "single tax" claim. Revenue performance therefore depends on legal design, administration, economic conditions and federal trust.

VERIFIED PYQ 3 - GS-III 2020, Q12 - 15 MARKS, 250 WORDS

Question: "Explain the rationale behind the Goods and Services Tax (Compensation to States) Act of 2017. How has COVID-19 impacted the GST compensation fund and created new federal tensions?"

Demand route: transition bargain -> statutory formula -> pandemic shortfall -> borrowing response -> federal trust -> June 2022 limit.

Model route: The 2017 Act converted the political bargain behind State consent into a five-year revenue-protection formula using FY 2015-16 and 14 per cent projected growth. Compensation cess funded the calculated gap. COVID-19 simultaneously compressed tax/cess receipts and enlarged State expenditure needs, creating a funding shortfall and disagreement over borrowing responsibility. Back-to-back loans and later cess servicing addressed debt, but did not extend the original compensation entitlement beyond June 2022. The dispute exposed the asymmetry between State service obligations and reduced unilateral rate space. Durable reform requires transparent cess accounts, predictable settlement and a negotiated shock-sharing rule.

VERIFIED PYQ 4 - GS-II 2023, Q15 - 15 MARKS, 250 WORDS

Question: "Explain the significance of the 101st Constitutional Amendment Act. To what extent does it reflect the accommodative spirit of federalism?"

Demand route: constitutional surgery -> pooled sovereignty -> Council/vote -> compensation -> *Mohit Minerals* -> graded verdict.

Model route: The Amendment is significant because it redesigned fiscal competence rather than merely adding a tax. Article 246A created simultaneous Union-State GST power, Article 269A built the inter-State settlement bridge and Article 279A institutionalised continuous bargaining. Accommodation appears in State ministerial representation, the one-third/two-thirds vote balance, the three-fourths threshold and the five-year compensation bargain. *Mohit Minerals* preserved legislative autonomy by treating Council recommendations as persuasive. However, the Union's blocking arithmetic, State dependence on settlement and compensation, and loss of unilateral rate flexibility qualify equality. It is accommodative federalism by pooled design, but its practical quality depends on consensus, transparency and fiscal trust.

VERIFIED PYQ 5 - GS-II 2025, Q14 - ADJACENT OWNER

Question: "Examine the evolving pattern of Centre-State financial relations in the context of planned development in India. How far have the recent reforms impacted the fiscal federalism in India?"

Ownership note: The principal owner is Centre-State Relations. GST contributes one dimension: pooled Article 246A power, Council bargaining, destination settlement, compensation and cesses. A complete answer must also cover Finance Commission devolution, Article 282 transfers, centrally sponsored schemes, borrowing and cesses/surcharges.

EXACTLY SIX ORIGINAL MAINS MODELS

ORIGINAL MAINS 1 - 10 MARKS - MAXIMUM 150 WORDS

Question: Distinguish Articles 246A, 269A and 279A in India's GST architecture.

Model answer:

Article 246A answers **who legislates**: Parliament and State legislatures have simultaneous GST power, while Parliament alone legislates for inter-State supplies. Article 269A answers **how inter-State GST moves**: the Union levies and collects it, imports are deemed inter-State, and proceeds are apportioned under parliamentary law; Parliament also frames place-of-supply principles. Article 279A answers **where policy is coordinated**: the Union and States meet in the GST Council to recommend the tax base, model laws, thresholds, rates and related design.

The three provisions therefore form a competence-flow-coordination triangle. *Mohit Minerals* confirms that Article 279A recommendations are persuasive rather than binding on legislatures because Article 246A preserves simultaneous power. Yet a statute may require a Council recommendation before delegated notification. The provisions are complementary, not interchangeable: the Council neither levies IGST nor replaces Parliament and State legislatures.

Audited model prose word count: 133.

Examiner method: claim -> named constitutional/statutory/case evidence -> analysis -> qualification -> verdict.

ORIGINAL MAINS 2 - 10 MARKS - MAXIMUM 150 WORDS

Question: Explain the GST Council's voting design and federal significance.

Model answer:

Article 279A requires one-half of total membership as quorum. In votes cast, the Union carries one-third and all participating States together two-thirds, shared equally among them. A decision needs at least three-fourths of weighted votes of members present and voting.

The design creates structured interdependence. The Union cannot pass a proposal alone; States also cannot pass alone because their maximum two-thirds falls below three-fourths. Thus the Union has an arithmetic blocking position, though Article 279A does not name a separate veto. With Union support, at least five-eighths of the State vote weight is needed.

In practice the Council usually seeks consensus, which can stabilise nationwide rules and avoid visible federal division. However, consensus should not conceal unequal revenue dependence. The voting formula is therefore cooperative in requiring a cross-level coalition, but asymmetric in bargaining power.

Audited model prose word count: 135.

Examiner method: claim -> named constitutional/statutory/case evidence -> analysis -> qualification -> verdict.

ORIGINAL MAINS 3 - 15 MARKS - MAXIMUM 250 WORDS

Question: "The GST Council recommends, but legislatures and governments give legal effect." Examine.

Model answer:

The proposition separates constitutional coordination from legal enforceability. Article 279A authorises the GST Council to recommend model laws, exemptions, thresholds, rates, place-of-supply principles and related matters. Article 246A, however, vests GST legislative competence in Parliament and State legislatures, with Parliament exclusive for inter-State supplies.

The usual chain is: Council recommendation -> parliamentary or State enactment/amendment -> authorised rule or Gazette notification -> administration -> appellate or judicial review. A Council press release therefore does not itself change a taxpayer's liability. The applicable Act, delegated authority, notification and effective date must be identified.

Union of India v Mohit Minerals (2022) held that Council recommendations have persuasive value and are not binding commands to Union or State legislatures. This protects simultaneous legislative power and cooperative dialogue. Yet the judgment does not make recommendations legally irrelevant. Where an enacted statute conditions an exemption or rate notification on the Council's recommendation, the executive must obey that statutory condition.

Thus the Council is neither a tax legislature nor an optional talking shop. Its constitutional influence promotes harmonisation, while enforceability remains grounded in competent legislation and valid delegated action.

Audited model prose word count: 180.

Examiner method: claim -> named constitutional/statutory/case evidence -> analysis -> qualification -> verdict.

ORIGINAL MAINS 4 - 15 MARKS - MAXIMUM 250 WORDS

Question: Assess the compensation bargain and the post-June 2022 federal trust problem.

Model answer:

GST required States to surrender important independent indirect-tax fields and accept a destination-based common system. Section 18 of the 101st Amendment directed Parliament to provide five-year compensation on the Council's recommendation. The GST (Compensation to States) Act, 2017 made that bargain calculable: FY 2015-16 was the base, projected revenue grew at 14 per cent annually, and compensation covered the statutory projected-actual gap through a cess-funded arrangement.

The mechanism reduced transition risk and helped secure State consent. COVID-19 then compressed GST and cess receipts while expanding State health and welfare obligations. The shortfall produced conflict over borrowing responsibility; back-to-back loans were arranged and cess collection continued for debt and interest servicing.

The central legal boundary is that the protected five-year entitlement ended on 30 June 2022. Continued cess for servicing specified pandemic-era liabilities is not an extension of the compensation right. Trust nevertheless remains affected because States retain major expenditure duties but have less unilateral rate flexibility.

A durable compact needs transparent cess and loan accounts, predictable settlement, independent revenue-impact assessment and a negotiated shock-sharing rule. Compensation should be remembered as a time-bound transition guarantee whose credibility shaped cooperative federalism beyond its formal expiry.

Audited model prose word count: 193.

Examiner method: claim -> named constitutional/statutory/case evidence -> analysis -> qualification -> verdict.

ORIGINAL MAINS 5 - 20 MARKS - MAXIMUM 250 WORDS

Question: Evaluate *Mohit Minerals* as a judgment on fiscal federalism and statutory vires.

Model answer:

Union of India v Mohit Minerals Pvt. Ltd. (2022) arose from a separate reverse-charge IGST levy on ocean freight in cost-insurance-freight imports. The importer already faced IGST on the composite import value. The Supreme Court tested the notification against the IGST/CGST statutory scheme and the treatment of composite supply; the levy failed that vires analysis.

The constitutional importance lay in the Court's reading of Articles 246A and 279A. Parliament and State legislatures possess simultaneous GST power, subject to Parliament's inter-State field. The Council's recommendations therefore have persuasive value, not binding force over primary legislatures. Cooperative federalism was described as collaborative dialogue rather than hierarchy.

The ruling protects State legislative autonomy and prevents a recommendatory body from becoming a super-legislature. At the same time, it does not make the Council irrelevant. Political agreement, uniform statutory design and statutory provisions requiring prior recommendation still give Council decisions major practical and legal consequence. Nor does it mean an administrator may ignore an enacted condition.

The case thus joins two disciplines: federal constitutionalism and delegated-legislation control. Its correct lesson is persuasive coordination plus binding valid law, not universal administrative choice or automatic invalidity of Council-linked notifications.

Audited model prose word count: 193.

Examiner method: claim -> named constitutional/statutory/case evidence -> analysis -> qualification -> verdict.

ORIGINAL MAINS 6 - 20 MARKS - MAXIMUM 250 WORDS

Question: Suggest reforms for a simpler, inclusive and trusted GST Council system.

Model answer:

Reform should strengthen the chain from recommendation to lawful, inclusive implementation.

First, publish concise reasons, fiscal-incidence estimates and recorded dissent for major rate, exemption and compliance changes. This would improve State bargaining and public scrutiny without forcing disclosure of every negotiating detail. Second, maintain a recommendation-to-notification tracker showing the competent Act, notification and effective date; this would prevent press releases from being mistaken for law.

Third, operationalise a transparent Article 279A(11) mechanism for specified intergovernmental disputes, while preserving GSTAT for statutory taxpayer appeals and courts for judicial review. Fourth, disclose compensation-cess collections, back-to-back loan liabilities and interest servicing, clearly separating debt repayment from the expired five-year compensation right.

Fifth, rationalise rates and inverted structures through a stable review calendar supported by distributional and State-wise revenue modelling. Sixth, reduce small-firm burdens through simpler returns, reliable refunds, assisted digital access and proportionate data requirements. Finally, coordinate CBIC, State administrations, GSTN and

GSTAT without blurring accountability.

The goal is not Council supremacy. It is credible cooperative federalism: reasoned recommendations, valid legal instruments, accessible compliance, independent adjudication and transparent fiscal adjustment.

Audited model prose word count: 178.

Examiner method: claim -> named constitutional/statutory/case evidence -> analysis -> qualification -> verdict.